Employer / Employee Relationships

Unit 1 · 1.3.4.1 Managing people

Good relationships matter: motivated, fairly-treated staff are more productive and less likely to strike. Pay and conditions can be set two ways.

Individual vs collective bargaining

- **Individual bargaining** — each employee negotiates their own pay and terms directly with the employer.
- **Collective bargaining** — a **trade union** negotiates pay and conditions for all its members at once, giving workers more power but potentially raising wage costs and setting precedents.

Trade unions and industrial action

- A **trade union** represents workers and aims to protect pay, conditions and job security.
- If talks fail, unions can use **industrial action** — strikes, overtime bans, work-to-rule — to pressure the employer.

UAE note: trade unions and strikes are not permitted in the UAE, so collective bargaining is mainly a UK/European feature — a useful point of contrast for students.

Worked examples

- **Nestlé (KitKat)** — used collective bargaining after 94% of workers rejected earlier offers, agreeing a 3.25% rise plus a 1% safety-linked bonus.
- **Deutsche Bank** — used collective bargaining with unions during 2019 restructuring that made 18,000 redundant.